

Advanced Financial Management — PREVIEW

Course: CPA — Certified Public Accountant | **Level:** Advanced Level (CA33 — Compulsory Paper)

This is a free preview. It shows the unit overview and exam-paper layout used throughout the full document, plus the introduction section.

Unit overview

Unit description. This paper extends Intermediate-level financial management into advanced corporate finance: complex investment decisions, optimal capital structure, dividend policy, mergers and acquisitions, and financial risk management through hedging and treasury techniques.

Prerequisite. A candidate attempting this paper is expected to have a secure grasp of Intermediate-level financial management and financial reporting.

Learning outcomes. A candidate who passes this paper should be able to evaluate complex investment decisions, estimate cost of capital, evaluate capital structure and dividend policy decisions, evaluate mergers and acquisitions, and apply risk-management/treasury techniques. (*Full learning outcomes list in the full version.*)

Contents (full paper)

1. Investment appraisal under risk and uncertainty — *included in this preview*
2. Capital rationing — full version only
3. Cost of capital — full version only
4. Capital structure theory — full version only
5. Dividend policy — full version only
6. Mergers and acquisitions — full version only
7. Foreign exchange risk management — full version only
8. Interest rate risk management — full version only
9. Full worked question — weighted average cost of capital and NPV — full version only
10. Practice examination — KASNEB-style paper — *Question One shown below; Questions Two–Five full version only*

11. Marking guide — model answers to the practice examination — full version only
 12. Exam technique and revision checklist — full version only
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1. Investment appraisal under risk and uncertainty

Beyond straightforward NPV, advanced appraisal explicitly incorporates risk through sensitivity analysis, expected NPV using probability-weighted outcomes, and risk-adjusted discount rates for riskier projects.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CPA paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CPA ADVANCED LEVEL — ADVANCED FINANCIAL MANAGEMENT (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Explain how sensitivity analysis is used to assess investment risk. (8 marks)
- (b) A company has divisible investment opportunities with the following NPVs and initial investments: Project A (NPV 200,000; investment 800,000), Project B (NPV 180,000; investment 600,000), Project C (NPV 150,000; investment 500,000). The company has KSh 1,200,000 available. Rank the projects by profitability index and recommend the optimal combination. (12 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes capital rationing, cost of capital, capital structure theory, dividend policy, mergers and acquisitions, forex and interest-rate risk management, a fully worked WACC/NPV question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.